

BITS PILANI, DUBAI CAMPUS

Dubai International Academic City, U.A.E.

Semester II 2025-26

Compre (CLOSED BOOK)

Course No: GS F211

Course Title: Modern Political Concepts

Date: June 9, 2026

Time: 180 mins Maximum Marks: 40

Weightage: 40

Name.....

ID.....

*Please circle the most appropriate option (**Only one**)*

Part I (10 marks)

Q1) A political scientist in his class of Introduction to politics emphasizes that those who are in business they provide goods and services to the consumer not for the consumers benefit but is interested in making profit. The political scientist is inspired by the writing of....

a) Karl Marx

b) F. A. Hayek

c) John Smith

d) John M Keynes

Explanation/hints- A similar statement has been made by Adam Smith. But the fundamental difference between Marx's statement and Smith's statement is while the former examines the issue from the perspective of "profit", the later looks it as "self-interest". The name-John Smith has been given here just to test the knowledge of students whether they differentiate between John M. Keynes or not.

Please watch the documentary : Master of Money-Karl Marks.

Q 2) Crisis in economy does not take place because of market but because of government meddling into it. Who espoused this idea?

a) Karl Marx

b) F. A. Hayek

c) John Smith

d) John M Keynes

Please watch Master of Money-Hayek.

Q3) In a country sale of the under wears are down. Those who believe in "Under wear Index" see it as first sign of economy entering into a recession, suggest the government to take corrective measures to avoid the bigger problem later. However, a group of other experts have a contrary opinion. They ask the government to wait and watch. While the former group is inspired by the

ideas of.....D..... The later is inspired by the idea ofB..... (choose appropriate option for both the groups).

- a) Karl Marks b) F. A. Hayek c) John Smith d) John M Keynes

Please Watch Master of Money: Hayek and Keynes.

Q4) An economist believes that setting the interest rate is the job of the government and not the job of market. If the market is allowed to set the interest rate it would be much higher and would be unaffordable to various investors. The economists are influenced by the writings of one of the Philosophers and they will be called as?

- a) Hayekist b) Marxist c) Keynesian d) Socialist

Please Watch Master of Money: Keynes.

Q5) The Federal Reserve in New York started issuing bonds in 1930s to influence the market and it was a revolutionary idea. Who was the President of the Bank at that time?

- a) F. A. Hayek c) Benjamin Strong c) John M Keynes d) Woodrow Wilson

Please Watch Master of Money: Hayek. (Especially 18 minutes onwards)

Q6) A philosopher believed that market is like the telecommunication system processing billion of pieces of information about all our needs and desires and changing resources of supply to meet them. Identify the philosopher?

- a) John M. Keynes b) John Smith c) F. A. Hayek d) Karl Marx.

Please Watch Master of Money: Hayek.

Q7) In a country where people has more money to buy things but the limited resources. The situation if continues will cause.....

- a) Inflation b) misery c) poverty d) recession

Please Watch Master of Money: Hayek. (Especially 12:30 minutes onwards) Please focus on the above part highlighted in Yellow. If you stop at first sentence, then your answer will be-a) Inflation. However, if you comprehensively examine the two sentences then it will be d)-recession. That is what happened in Austria-Hungary leading into long term recession. For example people retrenched housemaids and helpers. Now these helpers are also consumers. If they do not have money to buy things economy will hit into recession.

Q8) If we aim deliberately at the impoverishment of Central Europe, vengeance, I dare predict, will not limp.

The above statement can be attributed to which of the following scholar.

- a) Karl Marx b) F. A. Hayek c) Adam Smith d) John M. Keynes

Please Watch Master of Money: Keynes-especially the parts where he opposes war indemnities on Germany.

Q9) The book “Communist Manifesto” was written by?

- a) Karl Marx b) F. A. Hayek c) Karl Marx and Friedrich Engels d) Keynes

Please Watch Master of Money: Marx

Q10) During the interwar period in Austria the inflation rose to.....

- a) 10% b) 100% c) 110% d) 10000%

Please Watch Master of Money: Hayek. (12:45 minutes onwards)

Part II (25)

Each answer in Part II must be written not less than 250 words.

Q1) Feminism- the movement to gain gender equality has achieved objectives for which it was started. The women have the right to franchise, and they are working shoulder to shoulder with their male counterparts. It is time to wind up the movement. DEBATE. You can take stand FOR or AGAINST. To secure good marks, your arguments should be based on logic and reasoning. **(5 marks)**

Hints: If you are for- or against bring evidences/data points in favour or against depending on what you have selected.

Q2) Read the following statements carefully made by a political philosopher:

In liberal democracy, power remains concentrated to the elites (wealthy and influential people) and common citizens have not much say in this kind of government. Elites such as major businessmen gain disproportionate influence in any democracy. These elites, because of the closer proximity with the government, influence government policy often against the interest of average citizens and workers.

Now read the selected news headlines below:

Elon Musk Picked to head up Trump's New efficiency Team: The Sky News

Donald Trump picks Elon Musk for new cost-cutting role: BBC

Trump names Elon Musk to lead government efficiency drive: Reuters

Now answer the following Question: (1+4 marks)

- a) Identify the political philosopher who made such a remark?

Hints: Karl Marks

- b) Was the philosopher right to interpret the past that is bygone and future that lie ahead? Feel free to take a position. To secure good marks, your arguments should be based on logic and reasoning.

For this part- I will judge you based on our arguments, logic and reasoning.

Q 3. What is Surplus Value?. How would you explain the term Surplus Value to a lay man who has not studied Political Concepts? Why it is important to understand the importance of this concept for your life ahead? (05 marks)

a) surplus value is calculated as the result of subtracting production costs from profits. Thus the formula would be as follows:

$$\text{Capital gain (s)} = \text{Revenues} - \text{production costs (c+v)}$$

Marx further decomposes the following values to develop his labour theory of value:

- *c = constant capital (machinery, materials, fixed costs...)*
 - *v = variable capital (workers)*
 - *s = surplus value (entrepreneur's surplus)*
- c) Its importance- an employee will know his/her worth and will be able to better bargain his/her salary or wage if he she knows the concept of surplus value.

Q4) What kind of "State" Mohan Das Karamchand Gandhi's envisioned? To what extent his views converged or diverge with Karl Marx and John Locke. Explain and elaborate. (05 marks)

Hints: Please see the PPTs of Gandhism, Liberalism and Communism and comparatively analyse how these three philosophers viewed the concept of State.

Part III (10 marks)

For Part III, I would see how you have implemented the learning outcome of Project Based Learning assignment we did this semester. Those who quote and interpret will get high marks. Those who lift the sentence without quote and interpretation will get grace marks but not at par with those who quoted and interpreted the text.

Please write your answers in 500 words.

Q1) When the state facilitates the bourgeoisie to expand their business through reducing the corporate tax, it is the proletariats (workers and employees) who benefits most. Please assert or debunk the statement based on the reading of following Texts. (5 marks)

A dubious economic theory has continued for so long perhaps because of its nicely sounding name of “trickle-down economics.” The theory claims that benefits for the wealthy and big businesses will trickle down to the middle and lower classes. Though many economists have rejected it as a misguided theory, trickle-down economics has appeared, disappeared and then reappeared again and again like a ghost.

In Japan, this theory was referred to as part of a debate on “Abenomics” economic policies advocated by then Prime Minister Shinzo Abe.

Just as we were about to write off the policy as gone for good, we saw its latest revival in the ill-fated massive tax cut package put forth by former British Prime Minister Liz Truss.

Predictably, the proposal provoked fierce public backlash and was roundly criticized as an ill-conceived policy favoring the rich. With the proposal triggering serious turmoil in the financial markets, Truss became the country’s shortest-serving prime minister.

The theory, which has a long history, reached its apex of glory in the 1980s, when the British administration of Margaret Thatcher pushed an economic policy agenda based on new liberalism and designed to achieve “small government.”

While I was studying economics at a university in Britain at that time, I was taught that the thinking behind Thatcher’s economic policy was known as the “horse-and-sparrow” theory.

The instructor said the metaphor went: If a horse is fed enough oats, some would pass through to the road in the form of excrement for the sparrows.

When the term “trickle-down economics” gained currency, I suspected only that lecturer used such a vulgar metaphor and searched through various economic literature. I found that reputed economist John Kenneth Galbraith had used the “horse-and-sparrow” metaphor in describing the theory as heartless to the poor, saying it “has always been greeted with mild derision.”

During her last Question Time debate between party leaders in Parliament before leaving office, an opposition politician criticized Thatcher’s economic policy by pointing out the gap between the richest and the poorest in Britain had “widened substantially.”

She retorted by saying, “he (the opposition politician) would rather have the poor poorer, provided that the rich were less rich.” She remained committed to her belief that benefits to the rich were indirectly the succor of the poor.

The trickle-down theory has long stirred people’s imaginations, spawning a raft of colorful metaphors, such as wine overflowing from glasses, water cascading from a fountain and, of course “the horse and sparrow,” but it seems the time has come to ring the death knell for it.

XXXX

Q3) Marx's critique that capitalism is inherently unjust and self-destructive. It can be easily dismissed.

Choose one of the answers from below

- 1) I agree.
- 2) I disagree.

And elaborate your answer based on the reading of the text below. (Limit your answer in 150 words)

By [Michael Schuman, The Times Magazine](#) March 25, 2013

Karl Marx was supposed to be dead and buried. With the collapse of the Soviet Union and China's Great Leap Forward into capitalism, communism faded into the quaint backdrop of James Bond movies or the deviant mantra of Kim Jong Un. The class conflict that Marx believed determined the course of history seemed to melt away in a prosperous era of free trade and free enterprise. The far-reaching power of globalization, linking the most remote corners of the planet in lucrative bonds of finance, outsourcing and "borderless" manufacturing, offered everybody from Silicon Valley tech gurus to Chinese farm girls ample opportunities to get rich. Asia in the latter decades of the 20th century witnessed perhaps the most remarkable record of poverty alleviation in human history — all thanks to the very capitalist tools of trade, entrepreneurship and foreign investment. Capitalism appeared to be fulfilling its promise — to uplift everyone to new heights of wealth and welfare.

Or so we thought. With the global economy in a protracted crisis, and workers around the world burdened by joblessness, debt and stagnant incomes, Marx's biting critique of capitalism — that the system is inherently unjust and self-destructive — cannot be so easily dismissed. Marx theorized that the capitalist system would inevitably impoverish the masses as the world's wealth became concentrated in the hands of a greedy few, causing economic crises and heightened conflict between the rich and working classes. "Accumulation of wealth at one pole is at the same time accumulation of misery, agony of toil, slavery, ignorance, brutality, mental degradation, at the opposite pole," Marx wrote.

A growing dossier of evidence suggests that he may have been right. It is sadly all too easy to find statistics that show the rich are getting richer while the middle class and poor are not. A September [study](#) from the Economic Policy Institute (EPI) in Washington noted that the median annual earnings of a full-time, male worker in the U.S. in 2011, at \$48,202, were smaller than in 1973. Between 1983 and 2010, 74% of the gains in wealth in the U.S. went to the richest 5%, while the bottom 60% suffered a decline, the EPI [calculated](#). No wonder some have given the 19th century German philosopher a second look. In China, the Marxist country that turned its back on Marx, Yu Rongjun was inspired by world events to pen a musical based on Marx's classic *Das Kapital*. "You can find reality matches what is described in the book," says the playwright.

That's not to say Marx was entirely correct. His "dictatorship of the proletariat" didn't quite work out as planned. But the consequence of this widening inequality is just what Marx had predicted: class struggle is back. Workers of the world are growing angrier and demanding their fair share of the global economy. From the floor of the U.S. Congress to the streets of Athens to the assembly lines of southern China, political and economic events are being shaped by escalating tensions between capital and labor to a degree unseen since the communist revolutions of the 20th century. How this struggle plays out will influence the direction of global economic policy, the future of the welfare state, political stability in China, and who governs from Washington to Rome. What would Marx say today? "Some variation

of: ‘I told you so,’” says Richard Wolff, a Marxist economist at the New School in New York. “The income gap is producing a level of tension that I have not seen in my lifetime.”

Tensions between economic classes in the U.S. are clearly on the rise. Society has been perceived as split between the “99%” (the regular folk, struggling to get by) and the “1%” (the connected and privileged superrich getting richer every day). In a [Pew Research Center poll](#) released last year, two-thirds of the respondents believed the U.S. suffered from “strong” or “very strong” conflict between rich and poor, a significant 19-percentage-point increase from 2009, ranking it as the No. 1 division in society.

The heightened conflict has dominated American politics. The partisan battle over how to fix the nation’s budget deficit has been, to a great degree, a class struggle. Whenever President Barack Obama talks of raising taxes on the wealthiest Americans to close the budget gap, conservatives scream he is launching a “class war” against the affluent. Yet the Republicans are engaged in some class struggle of their own. The GOP’s plan for fiscal health effectively hoists the burden of adjustment onto the middle and poorer economic classes through cuts to social services. Obama based a big part of his re-election campaign on characterizing the Republicans as insensitive to the working classes. GOP nominee Mitt Romney, the President charged, had only a “one-point plan” for the U.S. economy — “to make sure that folks at the top play by a different set of rules.”

Amid the rhetoric, though, there are signs that this new American classism has shifted the debate over the nation’s economic policy. Trickle-down economics, which insists that the success of the 1% will benefit the 99%, has come under heavy scrutiny. David Madland, a director at the Center for American Progress, a Washington-based think tank, believes that the 2012 presidential campaign has brought about a renewed focus on rebuilding the middle class, and a search for a different economic agenda to achieve that goal. “The whole way of thinking about the economy is being turned on its head,” he says. “I sense a fundamental shift taking place.”

The ferocity of the new class struggle is even more pronounced in France. Last May, as the pain of the financial crisis and budget cuts made the rich-poor divide starker to many ordinary citizens, they voted in the Socialist Party’s François Hollande, who had once proclaimed: “I don’t like the rich.” He has proved true to his word. Key to his victory was a campaign pledge to extract more from the wealthy to maintain France’s welfare state. To avoid the drastic spending cuts other policymakers in Europe have instituted to close yawning budget deficits, Hollande planned to hike the income tax rate to as high as 75%. Though that idea got shot down by the country’s Constitutional Council, Hollande is scheming ways to introduce a similar measure. At the same time, Hollande has tilted government back toward the common man. He reversed an unpopular decision by his predecessor to increase France’s retirement age by lowering it back down to the original 60 for some workers. Many in France want Hollande to go even further. “Hollande’s tax proposal has to be the first step in the government acknowledging capitalism in its current form has become so unfair and dysfunctional it risks imploding without deep reform,” says Charlotte Boulanger, a development official for NGOs.

His tactics, however, are sparking a backlash from the capitalist class. Mao Zedong might have insisted that “political power grows out of the barrel of a gun,” but in a world where *das kapital* is more and more mobile, the weapons of class struggle have changed. Rather than paying out to Hollande, some of France’s wealthy are moving out — taking badly needed jobs and investment with them. Jean-Émile Rosenblum, founder of online retailer

Pixmania.com, is setting up both his life and new venture in the U.S., where he feels the climate is far more hospitable for businessmen. “Increased class conflict is a normal consequence of any economic crisis, but the political exploitation of that has been demagogic and discriminatory,” Rosenblum says. “Rather than relying on (entrepreneurs) to create the companies and jobs we need, France is hounding them away.”

The rich-poor divide is perhaps most volatile in China. Ironically, Obama and the newly installed President of Communist China, Xi Jinping, face the same challenge. Intensifying class struggle is not just a phenomenon of the slow-growth, debt-ridden industrialized world. Even in rapidly expanding emerging markets, tension between rich and poor is becoming a primary concern for policymakers. Contrary to what many disgruntled Americans and Europeans believe, China has not been a workers’ paradise. The “iron rice bowl” — the Mao-era practice of guaranteeing workers jobs for life — faded with Maoism, and during the reform era, workers have had few rights. Even though wage income in China’s cities is growing substantially, the [rich-poor gap is extremely wide](#). Another [Pew study](#) revealed that nearly half of the Chinese surveyed consider the rich-poor divide a very big problem, while 8 out of 10 agreed with the proposition that the “rich just get richer while the poor get poorer” in China.

Resentment is reaching a boiling point in China’s factory towns. “People from the outside see our lives as very bountiful, but the real life in the factory is very different,” says factory worker Peng Ming in the southern industrial enclave of Shenzhen. Facing long hours, rising costs, indifferent managers and often late pay, workers are beginning to sound like true proletariat. “The way the rich get money is through exploiting the workers,” says Guan Guohau, another Shenzhen factory employee. “Communism is what we are looking forward to.” Unless the government takes greater action to improve their welfare, they say, the laborers will become more and more willing to take action themselves. “Workers will organize more,” Peng predicts. “All the workers should be united.”

That may already be happening. Tracking the level of labor unrest in China is difficult, but experts believe it has been on the rise. A new generation of factory workers — better informed than their parents, thanks to the Internet — has become more outspoken in its demands for better wages and working conditions. So far, the government’s response has been mixed. Policymakers have raised minimum wages to boost incomes, toughened up labor laws to give workers more protection, and in some cases, allowed them to strike. But the government still discourages independent worker activism, often with force. Such tactics have left China’s proletariat distrustful of their proletarian dictatorship. “The government thinks more about the companies than us,” says Guan. If Xi doesn’t reform the economy so the ordinary Chinese benefit more from the nation’s growth, he runs the risk of fueling social unrest.

Marx would have predicted just such an outcome. As the proletariat woke to their common class interests, they’d overthrow the unjust capitalist system and replace it with a new, socialist wonderland. Communists “openly declare that their ends can be attained only by the forcible overthrow of all existing social conditions,” Marx wrote. “The proletarians have nothing to lose but their chains.” There are signs that the world’s laborers are increasingly impatient with their feeble prospects. Tens of thousands have taken to the streets of cities like Madrid and Athens, protesting stratospheric unemployment and the austerity measures that are making matters even worse.

So far, though, Marx's revolution has yet to materialize. Workers may have common problems, but they aren't banding together to resolve them. [Union membership in the U.S.](#), for example, has continued to decline through the economic crisis, while the Occupy Wall Street movement fizzled. Protesters, says Jacques Rancière, an expert in Marxism at the University of Paris, aren't aiming to replace capitalism, as Marx had forecast, but merely to reform it. "We're not seeing protesting classes call for an overthrow or destruction of socioeconomic systems in place," he explains. "What class conflict is producing today are calls to fix systems so they become more viable and sustainable for the long run by redistributing the wealth created."

Despite such calls, however, current economic policy continues to fuel class tensions. In China, senior officials have paid lip service to narrowing the income gap but in practice have dodged the reforms (fighting corruption, liberalizing the finance sector) that could make that happen. Debt-burdened governments in Europe have slashed welfare programs even as joblessness has risen and growth sagged. In most cases, the solution chosen to repair capitalism has been more capitalism. Policymakers in Rome, Madrid and Athens are being pressured by bondholders to dismantle protection for workers and further deregulate domestic markets. Owen Jones, the British author of *Chavs: The Demonization of the Working Class*, calls this "a class war from above."

There are few to stand in the way. The emergence of a global labor market has defanged unions throughout the developed world. The political left, dragged rightward since the free-market onslaught of Margaret Thatcher and Ronald Reagan, has not devised a credible alternative course. "Virtually all progressive or leftist parties contributed at some point to the rise and reach of financial markets, and rolling back of welfare systems in order to prove they were capable of reform," Rancière notes. "I'd say the prospects of Labor or Socialists parties or governments anywhere significantly reconfiguring — much less turning over — current economic systems to be pretty faint."

That leaves open a scary possibility: that Marx not only diagnosed capitalism's flaws but also the outcome of those flaws. If policymakers don't discover new methods of ensuring fair economic opportunity, the workers of the world may just unite. Marx may yet have his revenge.

Before reaching to a conclusion that whether Communism/Marxism is Utopia, let us consider few observation made by the Marx and quoted by the author. The author quotes Marx as saying "Accumulation of wealth at one pole is at the same time accumulation of misery, agony of toil, slavery, ignorance, brutality, mental degradation, at the opposite pole" What Marx said some tow centuries back came true when we read the present statistics on income inequality as quoted in the text by the author. The author opines that Society has been perceived as split between the "99%" (the regular folk, struggling to get by) and the "1%" (the connected and privileged superrich getting richer every day). This simplifies the statement Marx made about the wage gap that will create in-equality over the years creating a gap between Bourgeoisie and proletariat.

Moreover, people denied that there exist a class struggle between the two class but as the wealth gap is increasing and flow of capital is mostly towards the 1% super rich and invisible class war is almost there. Despite the fact that Marx's observations were based on scientific evidence but it is still brush aside by his critique as Utopian, just an ideal or imaginary society which cannot be achieved.

<https://business.time.com/2013/03/25/marxs-revenge-how-class-struggle-is-shaping-the-world/>